

Work Instruction: Underwriting Process Support Guide

Purpose

This document provides guidance for underwriting staff when processing applications and collecting required information from applicants.

How to Use This Guide

When conducting underwriting assessments, you will encounter various questions that need to be asked to applicants. This guide explains the purpose of each question and provides examples to help you better understand what information you're gathering and why it matters.

Question Categories & Guidance

PERSONAL INFORMATION

1. What is your full legal name and date of birth?

Purpose: Verifies the applicant's identity and ensures all documentation matches legal records. This prevents fraud and enables accurate credit checks.

Example: "My full legal name is Johannes Peter van der Berg, born on 15th March 1985."

2. What is your current residential address and how long have you lived there?

Purpose: Confirms residential stability and helps assess risk. Frequent address changes may indicate instability, while long-term residence suggests reliability.

Example: "I live at Prins Hendriklaan 45, 3583 EP Utrecht. I've been living here for 4 years and 3 months."

3. What is your marital status?

Purpose: Determines household financial structure and potential shared financial obligations. Marriage can indicate shared income and expenses affecting repayment capacity.

Example: "I am married" or "I am single/divorced/widowed/in a registered partnership."

4. How many dependents do you have?

Purpose: Assesses financial obligations and monthly expenses. More dependents typically mean higher expenses, which impacts available income for loan repayment.

Example: "I have two dependent children, ages 8 and 12, living with me full-time."

EMPLOYMENT & INCOME

5. What is your current employer and job title?

Purpose: Verifies employment status and income source. Stable employment with reputable employers indicates reliable income and lower default risk.

Example: "I work as a Senior Marketing Manager at Philips Electronics B.V."

6. How long have you been with your current employer?

Purpose: Measures job stability. Longer employment duration suggests commitment and consistent income, reducing the risk of sudden income loss.

Example: "I have been with my current employer for 6 years and 8 months."

7. What is your gross annual income?

Purpose: Determines primary repayment capacity. This figure is crucial for calculating debt-to-income ratios and assessing affordability of loan repayments.

Example: "My gross annual income is €65,000 before taxes and deductions."

8. Do you have any additional sources of income (bonuses, commissions, rental income, etc.)?

Purpose: Identifies supplementary income streams that strengthen repayment ability. Additional income increases financial buffer and reduces default risk.

Example: "Yes, I receive approximately €8,000 annually in performance bonuses and €6,000 from renting out a property."

9. Are you self-employed? If so, can you provide business financial statements?

Purpose: Self-employment requires different income verification. Financial statements show business health and income consistency, which can be more variable than salaried employment.

Example: "Yes, I'm self-employed as a freelance graphic designer. I can provide my last two years' tax returns and balance sheets."

10. Do you expect any changes in your employment situation?

Purpose: Anticipates future income stability. Planned career changes, retirement, or job loss could affect repayment ability and must be factored into risk assessment.

Example: "I'm planning to reduce my working hours to 80% starting next year" or "No changes expected."

FINANCIAL POSITION

11. What are your current monthly expenses (rent/mortgage, utilities, etc.)?

Purpose: Calculates disposable income after fixed expenses. Understanding spending obligations helps determine if sufficient funds remain for loan repayments.

Example: "My monthly expenses are: mortgage €1,200, utilities €150, insurance €180, groceries €400, transportation €200, total approximately €2,130."

12. Do you have any existing loans or credit commitments?

Purpose: Identifies current debt obligations that compete with new loan repayment. High existing debt increases default risk and may affect affordability.

Example: "Yes, I have a car loan with €8,000 remaining (€220/month) and a personal loan with €3,500 outstanding (€150/month)."

13. What are your current savings and checking account balances?

Purpose: Measures financial reserves and liquidity. Adequate savings demonstrate financial discipline and provide a buffer for emergency situations affecting repayment.

Example: "I have €12,000 in my savings account and approximately €2,500 in my checking account."

14. Do you own any assets (property, vehicles, investments)?

Purpose: Evaluates total wealth and potential collateral. Assets can secure loans and indicate overall financial health and ability to absorb financial shocks.

Example: "I own a house valued at €350,000, a 2020 Toyota valued at €18,000, and have €25,000 in investment funds."

15. What is your net worth?

Purpose: Provides overall financial health snapshot. Net worth (assets minus liabilities) indicates long-term financial stability and capacity to handle debt.

Example: "My total assets are €400,000 and my liabilities are €180,000, giving me a net worth of €220,000."

CREDIT HISTORY

16. Have you ever declared bankruptcy?

Purpose: Identifies severe past financial distress. Bankruptcy history is a significant red flag indicating previous inability to manage debt obligations.

Example: "No, I have never declared bankruptcy" or "Yes, I declared bankruptcy in 2015, which has since been discharged."

17. Have you had any late payments in the past 2-7 years?

Purpose: Assesses payment discipline and reliability. Late payment patterns indicate potential future repayment problems and reflect financial management skills.

Example: "I had two late credit card payments in 2021 due to a postal issue, but my payment history has been perfect since."

18. Do you have any outstanding judgments or liens against you?

Purpose: Reveals legal financial obligations that could affect repayment priority. Judgments and liens indicate disputes and potential claims on assets or income.

Example: "No, I have no outstanding judgments or liens" or "Yes, there's a tax lien for €5,000 being resolved through a payment plan."

19. Have you ever defaulted on a loan?

Purpose: Identifies history of non-repayment. Loan defaults are strong indicators of credit risk and suggest potential inability or unwillingness to honor obligations.

Example: "No, I have never defaulted on any loan" or "Yes, I defaulted on a small loan in 2018 during a period of unemployment."

LOAN SPECIFICS

20. What is the purpose of this loan?

Purpose: Determines loan use and associated risks. Different purposes carry different risk profiles; productive uses generally indicate better repayment prospects than consumption.

Example: "I need the loan to renovate my home's kitchen and bathroom, which will increase my property value."

21. How much are you requesting to borrow?

Purpose: Establishes loan amount for affordability assessment. This amount must be realistic relative to income, collateral value, and repayment capacity.

Example: "I am requesting to borrow €25,000."

22. What is your preferred repayment term?

Purpose: Determines monthly payment amounts and total interest. Longer terms reduce monthly payments but increase total cost; must align with borrower's financial capacity.

Example: "I would prefer a 5-year repayment term, which would give me manageable monthly payments."

23. Do you have collateral to secure the loan?

Purpose: Identifies security that reduces lender risk. Collateral provides recovery options if default occurs and may enable better loan terms.

Example: "Yes, I can offer my property as collateral, which is valued at €350,000 with €120,000 remaining mortgage."

24. How do you plan to repay the loan?

Purpose: Assesses repayment strategy and feasibility. A clear, realistic plan demonstrates borrower's thought process and commitment to meeting obligations.

Example: "I will use my monthly salary, and I've calculated that after all expenses, I have €600 surplus that can comfortably cover the payment."

RISK ASSESSMENT

25. What would you do if you experienced a financial setback?

Purpose: Tests contingency planning and resilience. The response reveals problem-solving ability and whether the borrower has considered risk management strategies.

Example: "I would first use my emergency savings, then reduce non-essential expenses, and contact the bank immediately to discuss options."

26. Do you have emergency savings?

Purpose: Confirms financial buffer exists for unexpected events. Emergency funds indicate financial prudence and reduce likelihood of default during temporary hardships.

Example: "Yes, I maintain an emergency fund of €10,000, which covers approximately 4-5 months of essential expenses."

27. Have you borrowed money before? What was your experience?

Purpose: Evaluates past borrowing behavior and responsibility. Previous positive loan experiences demonstrate understanding of credit obligations and reliable repayment history.

Example: "Yes, I had a car loan three years ago which I repaid on time without any issues. It was a positive learning experience."

IMPORTANT: SUPPORTING DOCUMENTATION REQUIREMENT

MANDATORY FINAL STEP

Once all questions have been answered, you **MUST request and attach supporting evidence documents before proceeding with the underwriting decision.**

Required Supporting Documents May Include:

- Valid government-issued photo ID (passport, driver's license, identity card)
- Recent pay slips (last 3 months) or employment contract
- Bank statements (last 3-6 months) from all accounts
- Tax returns (last 2 years, especially for self-employed applicants)
- Proof of address (utility bill, rental agreement, or mortgage statement)
- Business financial statements (for self-employed applicants)
- Credit report authorization
- Property valuation report (if offering collateral)
- Proof of additional income sources (rental agreements, investment statements)
- Documentation of existing loans and credit commitments

Document Verification Checklist:

- ☒ All documents are clearly legible
- ☒ Documents are recent (typically within 3 months unless otherwise specified)
- ☒ Documents match the information provided in responses
- ☒ All pages are included for multi-page documents
- ☒ Documents are authentic and from official sources

 **WARNING: Do not proceed with underwriting assessment until all required supporting documents have been collected, verified, and properly attached to the application file.**

Questions or Need Additional Support?

If you encounter complex situations or need clarification during the underwriting process, please contact:

- Your direct supervisor
- The Underwriting Team Lead
- The Risk Management Department

Document Version: 1.0

Last Updated: [Current Date]

Department: Underwriting